

Singapore Bond Yield Case Study

Abstract

This report looks at Singapore's yield curves over the past 12 months and uses data of macroeconomic indicators from Singapore and the US, together with current affairs covered by trusted entities to examine yield curve changes and their implication

I. Data on the Current Market State

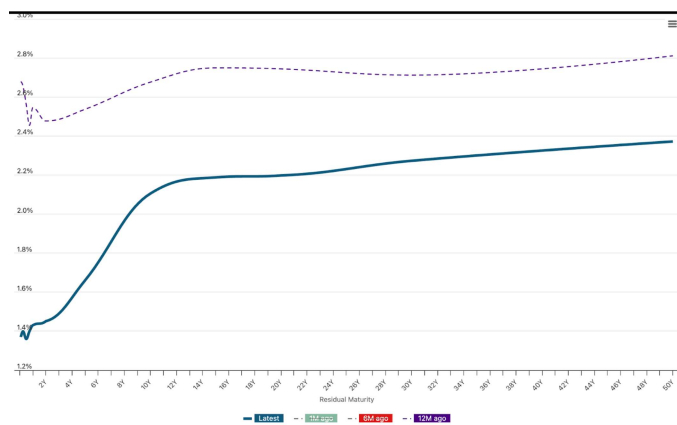


Exhibit 1

Residual Maturity	Annualized Yield			
	Last	Chg 1M	Chg 6M	Chg 12M
1 month	1.370%	+9.2 bp	-5.2 bp	-130.9 bp
3 months	1.399%	+8.7 bp	+0.9 bp	-125.7 bp
6 months	1.360%	+1.1 bp	-0.9 bp	-120.1 bp
9 months	1.400%	+4.0 bp	+6.0 bp	-105.5 bp
1 year	1.430%	+5.0 bp	+7.0 bp	-111.5 bp
2 years	1.451%	+12.9 bp	+6.3 bp	-102.6 bp
5 years	1.660%	+14.3 bp	+17.5 bp	-87.7 bp
10 years	2.105%	+19.9 bp	+33.7 bp	-57.1 bp
15 years	2.188%	+17.2 bp	+33.8 bp	-56.1 bp
20 years	2.198%	+12.2 bp	+31.8 bp	-54.6 bp
30 years	2.273%	+13.5 bp	+30.8 bp	-43.9 bp
50 years	2.372%	+13.9 bp	+20.7 bp	-43.9 bp

Exhibit 2

10Y-2Y spread (currently)

$2.105\% - 1.451\% = 0.654\% = 65.4$ basis points (bp)

10Y-2Y spread (12 months ago)

$2.67\% - 2.458\% = 0.212\% = 21.2$ basis points (bp)

Based on the current yield spread, we can characterize Singapore's curve as having a normal shape, with yields increasing along the term to maturity axis.

II. Internal Domestic Force

The primary domestic force shaping the SGS curve is the Monetary Authority of Singapore's (MAS) unique policy framework: rather than setting an interest rate, it manages the S\$NEER exchange rate band. Easing takes the form of reducing the slope of S\$ appreciation, which lowers near-term rate expectations and transmits directly into lower short-dated SGS yields.

The specific event was MAS's twice-easing in January and April 2025, triggered by rapid disinflation. Core CPI fell to 0.4% by mid-2025, its lowest since 2021. With core inflation subsequently recovering to around a normal rate of 1.2%. MAS held policy unchanged for nearly a year, marking a prolonged period of stability since the last adjustment.

As shown in the yield curve chart, the entire curve shifted downward over the past year, but the decline was heavily concentrated at the short end. The 2-year yield fell 102.6 bps over

twelve months, effectively the market's pricing of MAS's two easing moves, nearly double the 57.1 bps decline at the 10-year. This asymmetry caused the curve to re-steepen visibly: what was a relatively flat profile a year ago is now a clearly upward-sloping curve.

The mechanism is straightforward: the short end is policy-sensitive, responding directly to MAS's near-term rate expectations. The long end, by contrast, is driven by long-run global forces, primarily US Treasury movements, and is far less responsive to any single domestic decision.

III. Singapore vs the global “risk-free” standard

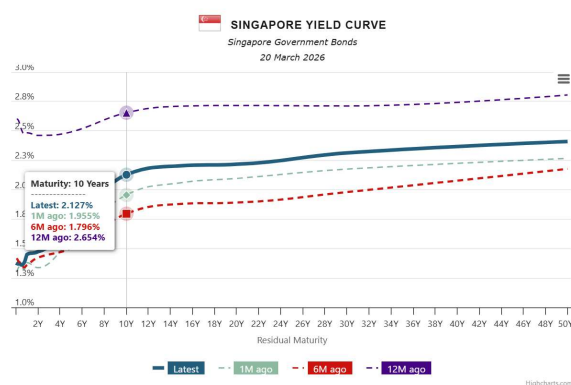


Exhibit 3

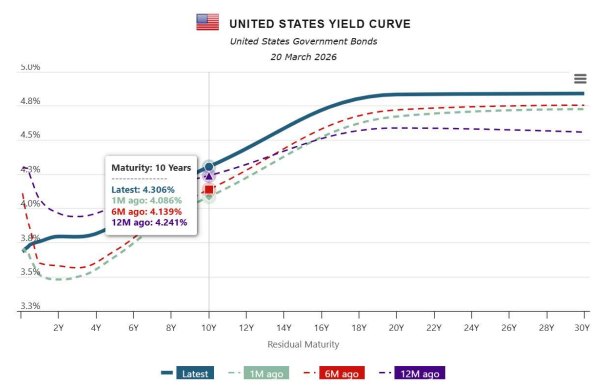


Exhibit 4

Singapore 10 year yield = 2.127%
 USA 10 year yield = 4.306%
 Spread = 2.127% - 4.306% = -2.179%

The spread between Singapore and United States 10-year government bond yields shows that Singapore's yield is approximately 2.179% lower (−217.9 basis points) than that of the United States.

Investors demand additional yield when investing in US bonds to compensate for higher inflation expectations, which reduce the real value of future returns and therefore require higher nominal yields (Jones, 2026), along with higher US real rates of return. In contrast, Singapore government bonds are regarded as safe-haven assets, with their strong fiscal position (Cruz, 2025), supported by their AAA rating and strong demand, with investors increasingly viewing them as alternatives to US assets (The Straits Times, 2025).

Therefore, this spread indicates that the yield difference is driven both by inflation differentials and differences in investor demand due to US risk concerns, higher growth and higher supply.

IV. International dynamics

In the past 12 months, Singapore's yield curve has dropped and steepened for maturities under 10 years. Currently, the yield curve sits slightly above its position 6 months ago. Singapore's market is highly affected by global forces due to high trade volume relative to GDP.

The yield curve has 3 main forces affecting its movements in the past 12 months: inflation expectations, growth expectations and the US market.

An increase in inflation expectations placed a slight upwards force on bond yields, as inflation increased from <1% to 1-2% over the past 12 months.

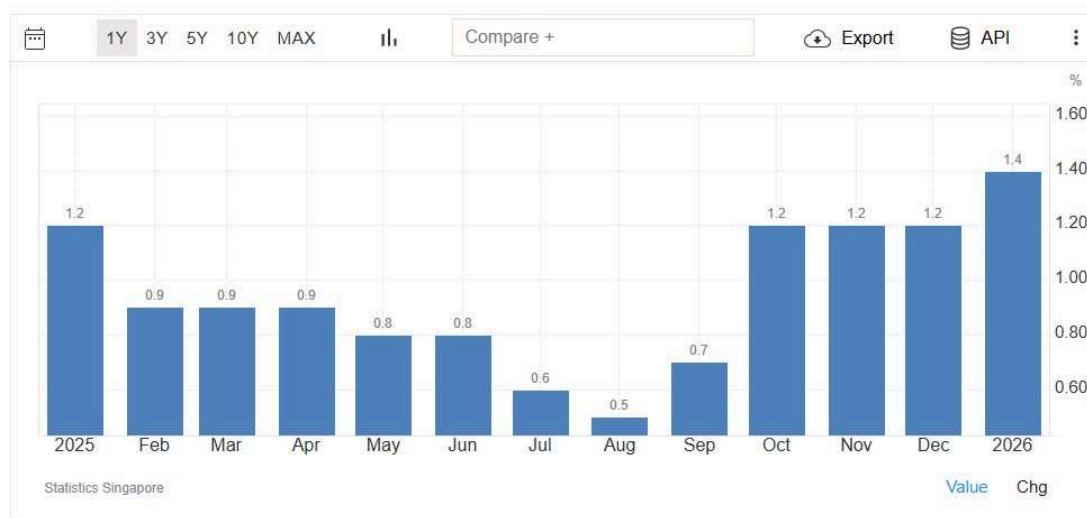


Exhibit 5

However, this effect is relatively small compared to the signalling of weak growth expectations from the Monetary Authority of Singapore (MAS). MAS' easing of S\$NEER in early 2025 showed investors that inflation and growth expectations were lower than expected and going forward, causing the real rate of return to decrease.

Looking at the fisher equation:

Nominal yield = expected inflation + real rate

We see a small drop in expected inflation combined with a larger decrease in the real rate.

Singapore's 2y and 10y yields bottomed out in nov 2025, a result of the forces aforementioned combined with investor flight to safe, AAA rated Singaporean bonds. Looking at the FED rate against Singapore's 2y yields, we see they correlate due to monetary policy spillover from the FED, via interest rate arbitrage and international capital flows, shown to be economically significant in 2y and 10y yields, (Kearns, Jonathan, Andreas Schrimpf, and Fan Dora Xia. 2018).

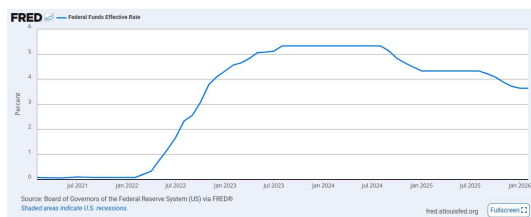


Exhibit 6

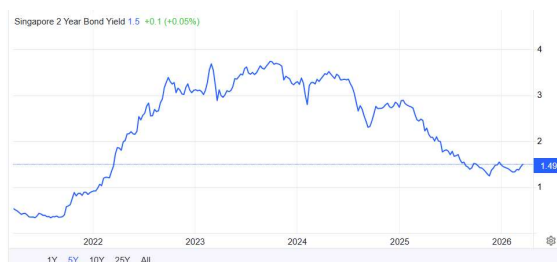


Exhibit 7

We see the two trends diverge in late 2025, where bond yields decrease further. This further change is driven by growing concerns about US financial health: a growing debt limit, budget deficit and tax cuts. Fitch forecasts US general government debt to be 'twice the median' of the AA ratings category.

Singapore on the other hand, has a high debt to GDP ratio, but debt is used to finance investments: no net debt. Combined with AAA ratings, investors fly to Singapore's bonds as a relatively safer investor environment, driving up bond prices, pushing down yields.

V. Conclusion

Singapore's yield curve dropped steeply in short term bonds and less across long term bonds. Singapore's bonds are closely tied to global rates due to high amounts of trade and interest arbitrage, with a combination of FED rate cuts and an increase in perceived US fiscal risk driving Singaporean bonds' demand up and thus yields down.

VI. References

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